

Alder Point Partners

Land Acquisition · Sacramento, California

Option Agreement

*Clearwater Land LLC (Owner) and Alder Point Partners (Optionee) · Klamath County, Oregon · Alder parcel
ref. KW-01*

This Option Agreement (this "Agreement") is made effective as of January 10, 2023 (the "Effective Date") by and between CLEARWATER LAND LLC, an Oregon limited liability company ("Owner"), and ALDER POINT PARTNERS, with offices in Sacramento, California ("Optionee"). Owner and Optionee are each a "Party".

RECITALS

A. Owner is the owner of certain real property in Klamath County, Oregon, located east of U.S. Highway 97 (the "Route 97 corridor"), containing approximately 148.62 acres according to the records of the Klamath County Assessor, and more particularly described in Exhibit A (together with all easements, rights and appurtenances, the "Property").

B. The Property adjoins other land of Owner to the south, which is the subject of a separate Option Agreement between the Parties dated September 20, 2022. This Agreement is independent of that agreement.

C. Optionee wishes to obtain, and Owner is willing to grant, an exclusive option to purchase the Property on the terms of this Agreement.

NOW, THEREFORE, in consideration of the Option Fee and the mutual covenants below, the Parties agree as follows:

1. Grant of Option

1.1 Owner grants to Optionee the exclusive and irrevocable option to purchase the Property on the terms of this Agreement (the "Option").

2. Option Term; Extension

2.1 The Option Term begins on the Effective Date and ends at 5:00 p.m. Pacific time on the day that is twelve (12) months after the Effective Date (the "Option Term").

2.2 Optionee may extend the Option Term once, for an additional period of six (6) months (the "Extension Period"), by written notice to Owner given before the Option Term expires, provided that each Option Payment then due has been paid or deferred under Section 3.3. References in this Agreement to the Option Term include any Extension Period.

3. Option Fee and Option Payments

3.1 In consideration of the Option, Optionee shall pay Owner an option fee of Twelve Thousand Dollars (\$12,000) (the "Option Fee"), in installments (each, an "Option Payment") as set out in Schedule 1 below.

3.2 Option Payments shall be made by check or by wire transfer to an account designated by Owner in writing.

3.3 Optionee may, by written notice to Owner given on or before the due date of any Option Payment other than the Initial Option Payment, defer that Option Payment to a later date stated in the notice,

which date shall be no later than the last day of the Option Term. Any Option Payment not paid by the last day of the Option Term is due on that day.

3.4 Optionee may prepay all or any part of the Option Fee at any time without premium or penalty.

3.5 Option Payments, once made, are non-refundable except as provided in Sections 6 and 10, and shall be credited against the Purchase Price at Closing.

Schedule 1 – Option Payments

Option Payment	Amount	Due (subject to Sections 3.3 and 3.4)
Initial Option Payment	\$4,000	Within five (5) business days after the Effective Date
Second Option Payment	\$4,000	On or before the 180th day after the Effective Date
Third Option Payment	\$4,000	On or before the 270th day after the Effective Date
Total Option Fee	\$12,000	

4. Purchase Price

4.1 The purchase price for the Property is \$1,150 per acre of Net Acreage (the "Purchase Price"), payable in cash at Closing, less the Option Payments made.

4.2 "Net Acreage" means the gross acreage of the Property as shown on the Survey, excluding any area within public road rights-of-way. The Assessor acreage stated in the Recitals and in Exhibit A is for identification only and is not a representation by either Party of Net Acreage.

5. Due Diligence; Survey

5.1 During the Option Term, Optionee and its consultants may enter the Property on reasonable prior notice to Owner to conduct boundary and topographic surveys, soil, environmental and siting studies and similar investigations, at Optionee's expense. Optionee shall repair any damage caused by its entry and shall indemnify Owner against third-party claims arising from it.

5.2 Optionee may obtain a boundary survey of the Property by a land surveyor licensed in Oregon (the "Survey").

5.3 Within fifteen (15) days after the Effective Date, Owner shall deliver to Optionee copies of any leases, surveys, title reports and recorded instruments affecting the Property that are in Owner's possession or control.

6. Title

6.1 Optionee may obtain a preliminary title report for the Property and shall notify Owner of any objections within thirty (30) days after receiving it. Owner shall notify Optionee within ten (10) days whether Owner will cure each objection. If Owner does not agree to cure an objection, Optionee may waive it or terminate this Agreement, in which case all Option Payments made shall be refunded to Optionee.

6.2 Owner discloses that the Property, together with Owner's adjoining land, is subject of record to a grazing lease recorded in 1994 in Volume M94, Page 18832, Records of Klamath County, Oregon (the "Grazing Lease"). Owner represents that the Grazing Lease has expired by its terms and that no person holds grazing rights on the Property under it. No release of the Grazing Lease has been located of

record. Before Closing, Owner shall use commercially reasonable efforts to obtain and record a release or quitclaim of the Grazing Lease from the lessee or its successors. If no release is recorded before Closing, Optionee may (a) waive this requirement, (b) extend Closing by up to sixty (60) days to allow it to be recorded, or (c) terminate this Agreement, in which case all Option Payments made shall be refunded to Optionee.

7. Owner's Covenants

7.1 During the Option Term, Owner shall not sell, lease, encumber or grant any interest in the Property, or permit any lien to attach to it, without Optionee's prior written consent; provided that Owner and its members may continue the existing agricultural and grazing use of the Property until Closing, so long as that use does not interfere with Optionee's investigations under Section 5.

7.2 Owner shall keep the Property in its present condition, ordinary wear and natural causes excepted.

8. Exercise of Option

8.1 Optionee may exercise the Option at any time during the Option Term by written notice to Owner (the "Exercise Notice"). If the Option is not exercised before the Option Term expires, the Option shall lapse and Owner shall retain the Option Payments made.

9. Closing

9.1 Closing of the purchase shall occur through escrow with a title company in Klamath County, Oregon selected by Optionee, on a date designated by Optionee not later than ninety (90) days after the Exercise Notice ("Closing").

9.2 At Closing, Owner shall convey the Property to Optionee or its assignee by statutory warranty deed, subject only to exceptions approved or waived under Section 6. Owner shall pay the premium for a standard owner's policy of title insurance; escrow fees shall be shared equally; real property taxes shall be prorated as of Closing.

10. Termination; Default

10.1 Optionee may terminate this Agreement at any time by written notice to Owner. Owner shall retain the Option Payments made through the date of termination, except where termination results from Owner's default or a title failure under Section 6.

10.2 If Optionee fails to make an Option Payment when due (as it may be deferred under Section 3.3), Owner may give Optionee written notice of the failure. If the payment is not made within ten (10) days after that notice, Owner may terminate this Agreement by further written notice.

10.3 If Owner fails to perform under this Agreement, Optionee may seek specific performance or terminate this Agreement and recover all Option Payments made.

11. Memorandum of Option

11.1 On request of either Party, the Parties shall sign a memorandum of this Agreement in recordable form, which Optionee may record in the Official Records of Klamath County, Oregon.

12. Assignment

12.1 Optionee may assign this Agreement, in whole or in part, to any affiliate of Optionee or to any successor to Optionee's land acquisition business, on written notice to Owner. Owner may not assign this Agreement without Optionee's written consent.

13. Notices

13.1 Notices under this Agreement shall be in writing and delivered by hand, by nationally recognized overnight courier, or by email with a copy by first-class mail, to the addresses below (or another address a Party designates by notice):

To Owner: Clearwater Land LLC, Attn: Gordon L. Pruitt, Managing Member, P.O. Box 1187, Klamath Falls, Oregon 97601; with a copy to Margaret A. Oyler, Oyler & Beck LLP, 412 Main Street, Klamath Falls, Oregon 97601

To Optionee: Alder Point Partners, Attn: Tom Reyes, Land Acquisition Manager, Sacramento, California; email: treyes@alderpointpartners.com

14. Governing Law; Venue

14.1 This Agreement is governed by the laws of the State of Oregon. Any action arising under this Agreement shall be brought in the Circuit Court of the State of Oregon for Klamath County.

15. Miscellaneous

15.1 This Agreement is the entire agreement of the Parties regarding the Property and may be amended only in a writing signed by both Parties. Time is of the essence. This Agreement may be signed in counterparts, and signatures delivered by scanned copy are effective as originals.

15.2 BEFORE SIGNING OR ACCEPTING THIS INSTRUMENT, THE PERSON TRANSFERRING FEE TITLE SHOULD INQUIRE ABOUT THE PERSON'S RIGHTS, IF ANY, UNDER ORS 195.300, 195.301 AND 195.305 TO 195.336. THIS INSTRUMENT DOES NOT ALLOW USE OF THE PROPERTY IN VIOLATION OF APPLICABLE LAND USE LAWS AND REGULATIONS (ORS 93.040).

IN WITNESS WHEREOF, the Parties have signed this Agreement as of the Effective Date.

**OWNER: CLEARWATER LAND LLC, an
Oregon limited liability company**

Gordon L. Pruitt
By: _____

Name: Gordon L. Pruitt

Title: Managing Member

Date: January 6, 2023

OPTIONEE: ALDER POINT PARTNERS

Tom Reyes
By: _____

Name: Tom Reyes

Title: Land Acquisition Manager

Date: January 10, 2023

Exhibit A — Legal Description of the Property

Real property in the County of Klamath, State of Oregon, described as follows: That portion of the South one-half (S¹/₂) of Section 14, Township 37 South, Range 8 East of the Willamette Meridian, lying East of the easterly right-of-way line of U.S. Highway 97. EXCEPTING THEREFROM any portion lying within public road rights-of-way.

Item	Detail
Assessor map / tax lot	Map 3708-01400, Tax Lot 00800
Assessor acreage (identification only)	148.62 acres
Access	Frontage on county road